EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Aparri is a 1st class municipality located at the northernmost tip of Luzon Island, 595 kilometers from Manila. It is a coastal community situated at the mouth of the mighty Cagayan River, dividing it into two geographic areas – Aparri East and Aparri West. The Municipality is composed of 42 barangays sprawled within its 27,600.88-hectare land area, with a population of 64,479 inhabitants. The town proper is made up of 15 Centro block units, the rest in its immediate environs and the west barangays, including the island of barangay Fuga.

Farming and fishing are the people's main sources of livelihood. The vast fertile agricultural land produces abundant quantity of rice, corn, vegetable and legumes. The gently rolling hills are dotted with fruit-bearing trees and an excellent grazing land for livestock. Fishing and fish processing are vital industries. The bodies of water around and within Aparri are teemed with fishes and other marine resources. Nipa shingle sewing and wine-making are thriving enterprises in the western barangays, where nipa palm trees abound.

The strategic location of Aparri makes it a legitimate convergent zone. Since Spanish times, the town had already been the trade and commercial center in Northern Cagayan. It is also the hub and heart of education and learning, finance and institutions in the region. The presence of educational institutions, banks and other financial establishments and national government agencies magnetize people from other municipalities and locations to Aparri.

In the passing times, Aparri has evolved from its lowly status to its current highly esteemed standing as the premiere Municipality in Northern Cagayan. The institution of responsive and committed local leadership had merited numerous local and national awards and commendations for the municipality and its people in the realm of local governance of Aparri was empowered by the Civil Service Commission, through its Local Chief Executive- Mayor Bryan Dale G. Chan, to take final action on the appointments of LGU Aparri personnel.

The Municipal Government was not only concerned with the material welfare and benefits of the people. It earnestly endeavored for the social and cultural transformation of the populace by adopting character traits for each month of the year – virtues which every Aparriano ought to internalize and exhibit in life. These are: discipline, loyalty, gratefulness, forgiveness, hospitality, determination, cleanliness, patience, responsibility, faith, resourcefulness and benevolence. This scheme had evolved Aparri into a "TOWN OF CHARACTER".

Scope of Audit

The audit covered the accounts and operations of the Municipality of Aparri, Cagayan for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSAS), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Aparri, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase/(Decrease)
			Amount
Financial Position			
Assets	1,138,777,623.88	993,099,420.59	145,678,203.29
Liabilities	233,689,921.32	193,924,176.97	39,765,744.35
Govt. Equity	905,087,702.56	799,175,243.62	105,912,458.94
Financial Performance			
Income	353,141,505.58	270,962,859.24	82,178,646.34
Expense	270,581,663.06	243,678,258.25	26,903,404.81
Appropriations, Allotments and Obligation			
Appropriations	516,226,208.86	371,627,696.19	144,598,512.67
Obligations	300,507,842.91	216,802,795.03	83,705,047.88

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Aparri, Cagayan for the year ended December 31, 2022 due to: (a) unreconciled Accounting and Property records on Property, Plant and Equipment account amounting to P655,591,987.02 and (b) incomplete basis on the balances of the Real Property Tax Receivable and Special Education Tax Receivable accounts totaling to P37,552,894.80.

D. Summary of Significant Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **The balance of the Property, Plant and Equipment amounting to P655,591,987.02 as at December 31, 2022 could not be ascertained due to the unreconciled difference between the Property and Accounting Records, contrary to Philippine Public Sector Accounting Standard 17 - Property, Plant and Equipment, thus, affecting the fair presentation of the account in the financial statements.**

We recommended that the Management:

a. Exert more effort in tracing the acquisition cost of the properties presented in the RCPPE and update the Report on the Physical Count of Road Network System in order to establish the cost, existence, ownership and control of those properties;

b. Undertake all the procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of Property, Plant and Equipment accounts in the financial statements; and

c. Direct the Municipal Accountant to record the necessary adjustments in order to present a fair and reliable balance of the Property, Plant and Equipment in accordance with PPSAS 17.

2. **The accuracy, validity and completeness of the reported balances of the Real Property Tax Receivable and Special Education Tax Receivable totaling ₱37,552,894.80 as at December 31, 2022 cannot be determined due to: a) incomplete basis and supporting documents to account for the composition thereof; and b) unreconciled records of the Accounting and Treasury Offices, which are inconsistent with Section 246 of the Republic Act No. 7160 and Section 20 of the New Government Accounting System Manual for LGUs, Volume I.**

We recommended that the Municipal Mayor require:

a. The Municipal Treasurer to furnish the Municipal Accountant the certified list of taxpayers, with the amount due and collectible, which would be the basis of the latter, to set-up the RPT/SET Receivables at the beginning of the accounting period;

b. The Municipal Treasurer and Municipal Accountant to reconcile their balances in their respective records and ensure that all due and demandable taxes be accounted properly in their own records and any delinquent accounts be continuously reported in the books, unless subsequently settled;

c. The Municipal Accountant to set up the RPT and SET Receivables at the beginning of the year, as required under Section 246 of the Section 246 of RA No. 7160; and

d. The concerned officials to adhere strictly to the provisions of Section 246 of RA No. 7160 and New Government Accounting System Manual for LGUs, Volume I.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settle-ment
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	5,940,000.00		-	5,940,000.00	
Current Year	-	-	-	-	
Total	**5,940,000.00**		**-**	**5,940,000.00**	
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the twenty-seven (27) audit recommendations in the CY 2021 Annual Audit Report, nine (9) were fully implemented while eight (8) were partially implemented and ten (10) were not implemented as at year-end.